The truth is that India's informal sector, far from being 'dirty' or 'undesirable', is actually the backbone of our economy. The Indian economy is overwhelmingly 'informal'. Rather than being a 'residual sector' of the economy, the informal sector is the dominant sector, both in terms of employment and in the value it adds to our GDP.

Before proceeding, it is probably a good idea to define what we mean by the terms 'formal' and 'informal' sectors. The Economic Survey, presented in January 2018 by the CEA, for the first time provided a definition of the formal and informal sector, and an indication of the size of each.

The survey said that there are many different definitions of formal and informal sectors. The most common ones are:

a. Whether a worker has a formal contract;
b. Whether a worker is a regular/salaried worker (as opposed to self-employed or casual);
c. Whether a firm is registered with any branch of the government;
d. Whether the firm pays taxes; and
e. Whether a worker receives social security.

Estimating the size of each sector, the survey stated:

Formal Sector: 'About 0.6 per cent of firms, accounting for 38 per cent of total turnover, 87 per cent of exports, and 63 per cent of GST liability are what might be called in the "hard core" formal sector in the sense of being both in the tax and social security net.'

Informal Sector: 'At the other end, 87 per cent of firms, representing 21 per cent of total turnover, are purely informal, outside both the tax and social security nets.'

From these definitions, it is clear that in terms of the number of firms, the informal sector dominates the formal sector, though, in terms of turnover, the picture appears different. This is probably because the turnover of the majority of these small firms is neither recorded nor captured in the formal statistics, something that will